

WARRANTY ATLAS · Rhode Island (RI)

Law last amended: 2018 (eff. 2018-07-02) · Next scheduled change: 2026-10-01 — P.L. 2026, ch. 180 (S 2347 Sub A) and ch. 179 (H 8213 Sub A... · Last verified: 2026-09-25 · Built 2026-10-05

Cites: R.I. Gen. Laws § 31-5.1-6; R.I. Gen. Laws § 31-5.1-12 (enforcement; license); R.I. Gen. Laws § 31-5.1-13 (civil remedies)

Distributor-franchised state: dealers here are franchised by Subaru of New England, Inc., an independent regional distributor. The rules below apply to the franchisor that holds the dealer's franchise; confirm with Legal how they apply to programs run by the manufacturer's U.S. company.

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	Required	Actual technician time	§ 31-5.1-6(c) (as amended eff. 10/1/2026)
Mfr-backed service contract	Not addressed	-	§ 31-5.1-6(a)
CPO warranty	Required	Actual technician time	§ 31-5.1-6(a) (as amended eff. 10/1/2026)
Independent service contract	Not addressed	-	§ 31-5.1-6(a)

Hourly rate: Dealer retail rate: total labor sales ÷ total labor hours from all non-warranty customer-paid ROs for the month before submission. Presumed fair. Manufacturer may rebut within 30 days as unfair and unreasonable versus same line-make dealers in the vicinity. Protest goes to the Department. At most twice per calendar year. Unchanged by S 2347A except for adding 'non-warranty' and distributors and factory branches.

Audit fields

Field	Rule	Pinpoint
Claim decision	30 days; late claim deemed approved: Yes.	§ 31-5.1-6(i)(2)(i)-(iii) (current text to 9/30/2026); resu...
Payment	30 days after approval. Dealer filing deadline: Silent. At least 60 days from notice of a chargeback to resubmit a claim denied for an incidental failure (clerical error or administrati...	
Chargebacks	12 months; fraud: does not limit charge back of any claim proven fraudulent. Only claims the manufacturer shows are false or unsubstantiated, within 12 months of payment or credit. No chargeback for an incidental failure (clerical error or technicality) once the claim is properly resubmitted. From 10/1/2026, audits or chargebacks may...	§ 31-5.1-6(i)(3)(i)-(iv)
Rate resubmission	no more than twice in one calendar year. Sample: All qualifying ROs, prior calendar month. Excluded: Discounted / promotional, Other (see text), Engine / transmission assembly, Routine maintenance, Tires, Prep / reconditioning.	§ 31-5.1-6(c), (d), (f); parts at (b)
Mfr response	30 days; no response = approved: Yes. Challenge: Rate is unfair and unreasonable in light of the practices of all other franchised dealers in the vicinity offering the same line-make. From 10/1/2026 the PARTS standard compares 'advertised retail rates' for warranty-like repairs in the 'relevant market area'... Forum: Department (of Revenue, per § 31-5.1-3(c)): dealer protest within 30...	§ 31-5.1-6(c)
Penalties	Superior court civil action: injunction, actual damages, costs and reasonable attorney's fee (§ 31-5.1-13) Department show-cause hearing; license revocation or suspension on a finding of noncompliance (§ 31-5.1-12)	R.I. Gen. Laws §§ 31-5.1-12, 31-5.1-13
Audit procedures	Audit climate score 22/100 (Moderate restrictiveness; chargeback limits 19/75 + process and oversight 3/25). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: 60 days; internal appeal: no; held pending appeal: no; extrapolation: silent; clerical-error protection: yes; rate validation: broader or no procedure.	

Statute quotes

Claims (§ 31-5.1-6(i)(2)(i)-(iii) (current text to 9/30/2026); resu...): "A claim not approved or disapproved within thirty (30) days of receipt shall be deemed approved. ... Payment of, or credit issued on, a claim filed under this section shall be made within thirty (30) days of approval."

Chargebacks (§ 31-5.1-6(i)(3)(i)-(iv)): "shown by the manufacturer or distributor to be false or unsubstantiated, the manufacturer or distributor may charge back the claim within twelve (12) months from the date the claim was paid or credit issued"

Rate (§ 31-5.1-6(c), (d), (f); parts at (b)): "submitting to the manufacturer or distributor all non-warranty customer-paid service repair orders covering repairs made during the month prior to the submission and dividing the amount of the dealer's total labor sales by the number of total labor hours"

Factory time (§ 31-5.1-6(c) (as amended eff. 10/1/2026)): "Compensation for warranty labor shall equal the dealer's non-warranty labor rate multiplied by the actual time worked by the dealer's technician performing necessary repairs"

Notes

Fields show the rules in force through 9/30/2026. FROM 10/1/2026 (P.L. 2026 ch. 179/180, identical text; enacted text checked against law26180): (a) dealers get at least 90 days to submit claims, and retail-rate reimbursement extends to CPO warranty or recall issued by the manufacturer, distributor, factory branch, common entity or agent. (c) warranty labor = non-warranty labor rate x the technician's actual time, shown by time punch including diagnostic and OEM tech-assist time, with a dealer attestation. (h) no unreasonable audits or chargebacks, and technicians must meet reasonable qualifications; either party may appeal to the Department. (i)(4) written denial with a detailed explanation 'within forty-five (45) days', 45 days to resubmit, OEM bears the burden on time-based denials, and the OEM may protest a corrected claim to the Department within 30 days. CONFLICT: (i)(2) still say...

Source: official · <https://webserver.rilegislation.gov/Statutes/TITLE31/31-5.1/31-5.1-6.htm> (current codified text). 10/1/2026 changes: ht... · Confidence: high. Public-source research summary for audit planning, not legal advice. No SOA-approved rates. Confirm against the cited statute; escalate disputes to Legal.